

Canada Bread Company, Limited

Interim Management's Discussion and Analysis

For the First Quarter Ended

March 31, 2014

Management's Discussion and Analysis

For the first quarter ended March 31, 2014

April 30, 2014

FINANCIAL OVERVIEW

Canada Bread Company, Limited ("the Company") sales from continuing operations[(i)] for the first quarter decreased 1.2% to $342.8 million compared to $346.9 million last year, or 2.4% after adjusting for discontinued categories in the U.K. and the impact of currency translation on sales in the U.S. and U.K. The decrease was due to lower sales volumes and a lower value sales mix, partly offset by higher pricing across the Company.

Adjusted Operating Earnings[(i)(ii)] increased 18.6% in the first quarter to $20.3 million compared to $17.1 million last year, as operational improvements were partly offset by lower volumes.

Net earnings from continuing operations[(i)] in the quarter totalled $9.8 million ($0.39 basic earnings per share) compared to $2.3 million ($0.09 basic earnings per share) last year, and included $1.9 million of pre-tax restructuring and other related costs (2013: $10.4 million). Adjusted Earnings per Share[(i)(iii)] was $0.60 for the first quarter compared to $0.45 last year.

Several items are excluded from the discussions of underlying earnings performance as they are not representative of ongoing operational activities. Please refer to the section entitled Non-IFRS Financial Measures at the end of this Management's Discussion and Analysis on page 10 for a description and reconciliation of all non-IFRS financial measures.

Notes:

(i) 2013 figures exclude the results of the Olivieri business in the Fresh Bakery segment. Olivieri results are reported as discontinued operations as disclosed in Note 16 of the Company's 2014 first quarter unaudited condensed consolidated interim financial statements.

(ii) Adjusted Operating Earnings, a non-IFRS measure, is used by Management to evaluate financial operating results. It is defined as earnings before income taxes adjusted for items that are not considered representative of ongoing operational activities of the business, and items where the economic impact of the transactions will be reflected in earnings in future periods when the underlying asset is sold or transferred. Please refer to the section entitled Non-IFRS Financial Measures on page 10.

(iii) Adjusted Earnings per Share, a non-IFRS measure, is used by Management to evaluate ongoing financial operating results. It is defined as basic earnings per share, adjusted for all items that are not considered representative of ongoing operational activities of the business, and items where the economic impact of the transactions will be reflected in earnings in future periods when the underlying asset is sold or transferred. Please refer to the section entitled Non-IFRS Financial Measures on page 10.

PENDING TRANSACTION

On February 12, 2014, the Company announced that Grupo Bimbo, S.A.B. de C.V. of Mexico ("Grupo Bimbo") had agreed to acquire all of the issued and outstanding common shares of Canada Bread, by way of a statutory arrangement under the Business Corporations Act (Ontario) (the "Arrangement"). Under the terms of the Arrangement, Grupo Bimbo has agreed to acquire each common share of Canada Bread for $72.00 per share in cash.

On March 17, 2014, the proposed transaction received approval from the Canadian Competition Bureau to proceed. On March 24, 2014, the proposed transaction received clearance from the U.S. Department of Justice under the Hart-Scott-Rodino Act to proceed.

Subsequent to the quarter end, the Arrangement was also approved by the shareholders of Canada Bread at a special meeting held in April 2014. Subject to Investment Canada approval, the proposed transaction is expected to close in the second quarter of 2014.

OPERATING REVIEW

The following table summarizes sales by business segment:

($ thousands) *(Unaudited)*	First Quarter **2014**	2013
Fresh Bakery[(i)]	**$ 216,173**	$ 220,802
Frozen Bakery	**126,664**	126,065
Total Sales	**$ 342,837**	$ 346,867

(i) Figures exclude the results of the Olivieri business in the Fresh Bakery segment. Olivieri results are reported as discontinued operations as disclosed in Note 16 of the Company's 2014 first quarter unaudited condensed consolidated interim financial statements.

The following table summarizes Adjusted Operating Earnings by business segment:

($ thousands) *(Unaudited)*	First Quarter **2014**	2013
Fresh Bakery[(i)]	**$ 15,276**	$ 13,277
Frozen Bakery	**5,025**	3,841
Adjusted Operating Earnings	**$ 20,301**	$ 17,118

(i) Figures exclude the results of the Olivieri business in the Fresh Bakery segment. Olivieri results are reported as discontinued operations as disclosed in Note 16 of the Company's 2014 first quarter unaudited condensed consolidated interim financial statements.

Fresh Bakery

Includes fresh bakery products, including breads, rolls, and bagels sold to retail, foodservice, and convenience channels. It includes the Dempster's® national brand and many leading regional brands.

Fresh Bakery sales for the first quarter decreased 2.1% to $216.2 million compared to $220.8 million last year, as lower volumes and a lower value sales mix were partly offset by the benefit of a price increase taken in the early part of 2013.

Adjusted Operating Earnings in the Fresh Bakery segment increased 15.1% to $15.3 million from $13.3 million last year, largely driven by operational efficiencies. This was the result of lower overhead costs as the third sub-scale Toronto, Ontario bakery was closed during the second quarter of 2013, with production consolidated into the Hamilton, Ontario bakery, as well as simplification of the product portfolio. These benefits were partly offset by higher selling, general, and administrative costs and lower volumes. The benefit of a price increase last year was offset by higher input costs, despite lower input costs for wheat, due to the impact of a weaker Canadian dollar on other raw material costs, and higher inflationary costs.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice, and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co™.

Frozen Bakery sales for the first quarter increased 0.5% to $126.7 million, and decreased 3.0% after adjusting for discontinued categories in the U.K. and the impact of currency translation on sales in the U.S. and U.K. The decrease was due to lower sales volumes and a lower value sales mix, partly offset by higher pricing across the segment.

First quarter Adjusted Operating Earnings increased to $5.0 million from $3.8 million last year. Earnings in the U.K. bakery business benefited from higher pricing and lower raw material costs, as well as lower selling, general, and administration expenses. In the North American frozen bakery business, earnings declined primarily due to higher selling, general, and administrative costs, resulting from a provision recorded against a trade receivable. Lower volumes and higher inflationary costs were offset by improved operating efficiencies and lower input costs for wheat.

GROSS MARGIN

Gross margin increased to $70.2 million (20.5% of sales) in the first quarter of 2014 compared to $63.9 million (18.4% of sales) last year. The improvement as a percentage of sales is largely driven by operational improvements at the Fresh Bakery segment.

SELLING, GENERAL AND ADMINISTRATIVE EXPENSES

Selling, general and administrative expenses in the quarter increased 6.7% to $49.9 million from $46.8 million last year, representing 14.5% and 13.5% of sales, respectively. The increase was driven by higher spending on advertising and promotional expenses in the Fresh Bakery segment, and a provision recorded against a trade receivable in the North American frozen bakery business.

OTHER INCOME (EXPENSE)

Other expense for the first quarter was $4.4 million compared to an expense of $2.5 million last year. Other expense in 2014 primarily consisted of $6.3 million of transaction costs associated with the pending sale of the Company and $0.7 million of investment property vacancy costs (net of rental income). These costs were partly offset by a $1.7 million gain on the sale of an investment property and proceeds from legal settlements of $0.6 million. Other expense for the first quarter of 2013 primarily related to a $3.6 million impairment on long lived assets of a U.K. specialty products bakery that was sold in the second quarter of 2013.

Certain items in other income are excluded from the calculation of Adjusted Earnings per Share as they are not considered representative of ongoing operational activities of the business. Other income used in the calculation of Adjusted Earnings per Share for the first quarter is $0.8 million, primarily consisting of $0.6 million in proceeds from legal settlements compared to an expense of $0.6 million in the first quarter of 2013.

RESTRUCTURING AND OTHER RELATED COSTS

	Three months ended March 31,	
	2014	2013
FRESH BAKERY		
Management structure changes		
Retention	**$ 1,465**	$ –
Severance	**–**	7,454
	$ 1,465	$ 7,454
Bakery closures		
Severance	**$ –**	$ 2,136
Site closing and other costs	**216**	623
Asset impairment and accelerated depreciation	**202**	635
Retention	**–**	213
Pension	**–**	(650)
	$ 418	$ 2,957
FROZEN BAKERY		
Bakery closures		
Asset impairment and accelerated depreciation	**$ (6)**	$ –
	$ (6)	$ –
Total restructuring and other related costs	**$ 1,877**	$ 10,411

Negative amounts reflect adjustments to provisions and reversals of previously recorded impairments.

A brief description of the projects is as follows:

Management Structure Changes

The Company has recorded restructuring and other related costs pertaining to organizational delayering and changes to its management structure, primarily in the first quarter of 2013. The retention amounts in the first quarter of 2014 related to management restructuring associated with the disposition of the Company's fresh pasta business.

Bakery Closures

During the three months ended March 31, 2014 and March 31, 2013, the Company recorded charges in connection with the closure of bakeries in Grand Falls, New Brunswick, and Edmonton, Alberta. As these plants were closed last year, the majority of the costs were recorded in the first quarter of 2013.

Impairment

During the three months ended March 31, 2014, the Company recorded $0.2 million (2013: $nil) of impairment of fixed assets through restructuring and other related costs.

INTEREST EXPENSE

Interest expense for the first quarter of 2014 was $0.2 million compared to $0.4 million in 2013. The Company's average effective cost of borrowing for the quarter was approximately 3.1% (2013: 2.9%).

INCOME TAXES

The Company's income tax expense relating to continuing operations for the first quarter of 2014 results in an effective tax rate of 28.7% (2013: 39.6%). The lower effective tax rate in the first quarter of 2014 is the result of the proportion of earnings and losses in different tax jurisdictions. For the first quarter of 2014, the effective tax rate used in the computation of Adjusted Earnings per Share is 22.7% (2013: 28.0%). The lower rate in 2014 is a result of the proportion of the restructuring expenditures in different jurisdictions and the lower rate of tax applicable to the gain on the disposition of a bakery facility in the first quarter of 2013.

TRANSACTIONS WITH RELATED PARTY

Services provided to the Company by Maple Leaf under the terms of a management services agreement include, but are not limited to, treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, public relations, corporate secretarial, legal, insurance, human resources, and computer systems support. In addition, Maple Leaf provides senior management time for operating involvement. Fees paid by the Company for these services are based on the actual cost of providing such services and are allocated based on either activity drivers, or where not practicable to isolate such drivers, the proportion of assets employed to the total assets in the business unit, which is consistent with the allocation of such costs to other business units of Maple Leaf.

Fees paid to Maple Leaf in the three months ended March 31, 2014, for these services were $12.8 million (March 31, 2013: $13.2 million). At March 31, 2014, the total outstanding balance payable to Maple Leaf was $6.1 million (March 31, 2013: $5.1 million).

In addition to the management services agreement, the Company also is charged for the costs of certain direct services provided by Maple Leaf. This includes, but is not limited to, direct sales, supply chain management, order management, warehousing and transportation services. These services are charged based upon time-based allocation. The occupancy costs and related direct expenses of any Company employees located at a Maple Leaf location are charged to the Company on a monthly basis based upon the proportion of the total square footage occupied by the Company.

As at March 31, 2013, the Company had a $50.0 million revolving debt facility with Maple Leaf to provide longer-term funding and surplus liquidity. The facility was terminated in December 2013.

The Company has foreign exchange contracts with Maple Leaf as described in Note 13 of the Company's 2014 first quarter unaudited condensed consolidated interim financial statements.

The Company sponsors a number of defined benefit and defined contribution plans. The Company's contributions to these plans were $2.2 million (2013: $2.4 million) in the three months ended March 31, 2014.

CAPITAL RESOURCES

The Company is exposed to fluctuations in the prices of raw materials, seasonal, and other market-related price changes, particularly wheat costs. Due to the high sales volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short-term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements are funded from operating cash flow and from existing credit facilities. Management is of the opinion that its operating cash flow and existing credit facilities provide the Company with sufficient resources to finance ongoing business requirements and its planned capital investment program for at least the next 12 months.

Historically, the Company has generated a significant amount of operating cash flow that has more than covered financing needs related to capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide funding and surplus liquidity.

As at March 31, 2014, the Company and its subsidiaries had aggregate undrawn credit facilities, excluding accounts receivable securitization programs, of $46.3 million (2013: $86.9 million). The reduction in undrawn credit facilities in 2014 was as a result of the Company terminating a $50.0 million revolving credit facility with Maple Leaf in December 2013. As at March 31, 2014, the Company had cash of $144.1 million (2013: $95.5 million).

To access competitively priced financing, and to further diversify its funding sources, the Company operates a three-year committed accounts receivable securitization facility. Under the facility, the Company sells certain accounts receivable, with very limited recourse, to an entity owned by an international financial institution with a long-term debt rating of AA-. The receivables are sold at a discount to face value based on prevailing money market rates. At March 31, 2014, the Company had $77.5 million (2013: $92.5 million) of trade accounts receivable serviced under this facility. In return for the sale of its trade receivables, the Company received cash of $31.1 million (2013: $50.2 million) and a note receivable in the amount of $46.4 million (2013: $42.3 million). The maximum amount available to the Company under this program is $60.0 million. As at March 31, 2014, the Company recorded a net payable of $29.9 million (2013: $0.3 million net receivable) in payables and accruals.

The securitization facility is subject to certain restrictions and requires the maintenance of certain covenants. As at March 31, 2014 the Company was in compliance with all of the requirements of the securitization facility. This facility was accounted for as an off-balance sheet transaction under International Financial Reporting Standards ("IFRS"). If the facility was terminated, the Company would recognize the securitized amounts on the consolidated balance sheet and would consider alternative financing if required.

CAPITAL EXPENDITURES

Capital expenditures in the first quarter of 2014 were $10.2 million compared to $6.5 million last year. The increase was due to higher base capital expenditures at the fresh bread and North American frozen bakery businesses.

CASH FLOW AND FINANCING

Cash balances, net of debt, were $141.5 million at the end of the first quarter of 2014, compared to $317.7 million as at December 31, 2013. The decrease in cash for the quarter is primarily due to the payment of a special dividend of $8.00 per share ($203.3 million).

Cash Flow from Operating Activities

Cash flow from continuing operations in the first quarter was $42.4 million compared to $17.0 million in 2013. The increase is mainly attributable to higher cash earnings and a lower investment in working capital.

Cash Flow from Financing Activities

Cash used in financing activities was $216.4 million in 2014 compared to $11.1 million in 2013, due to the payment of an $8.00 per share special dividend in January 2014 ($203.3 million).

Cash Flow from Investing Activities

Cash used in investing activities was $2.5 million in the first quarter of 2014 compared to $3.9 million in 2013, as increased capital expenditures were more than offset by higher proceeds on the sale of long-term assets.

CAPITAL

The Company's objective is to maintain a cost effective capital structure that supports its long-term growth strategy and maximizes operating flexibility. In allocating capital to investments to support its earnings goals, the Company establishes internal hurdle return rates for capital initiatives. Capital projects are generally financed with internal cash flows.

The Company's goal is to maintain its primary credit ratios and leverage at levels that are designed to provide continued access to investment-grade credit pricing and terms.

In addition to equity, the Company uses operating and capital leases, and very limited recourse accounts receivable securitization programs as additional sources of financing.

The Company has maintained a dividend distribution that is based on a sustainable net earnings base.

CREDIT RISK

Credit risk refers to the risk of losses due to failure of the Company's customers and counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial conditions and reviews the collectibility of its trade and other receivables in order to mitigate any possible credit losses. As at March 31, 2014, approximately $nil (2013: $0.2 million) of the Company's accounts receivable were greater than 60 days past due. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. This allowance includes a provision related to specific losses estimated on individual exposures. As at March 31, 2014, the Company has recorded an allowance for doubtful accounts of $1.7 million (2013: $nil). There are no significant impaired accounts receivable that have not been provided for in the allowance for doubtful accounts.

Management believes concentrations of credit risk, with respect to accounts receivable, is limited due to the generally high credit quality of the Company's major customers, as well as the large number and geographic dispersion of smaller customers. The Company does, however, conduct a significant amount of business with large grocery retailers. The Company's three largest customers comprise approximately 34.1% (2013: 34.7%) of consolidated pre-securitized accounts receivable at March 31, 2014, and the two largest customers comprise approximately 25.7% (2013: 26.1%) of consolidated sales.

The Company is exposed to credit risk on its cash and cash equivalents (comprising primarily deposits and short-term placements with Canadian chartered banks) and non-exchange-traded derivatives contracts. The Company mitigates this credit risk by only dealing with counterparties that are major international financial institutions with long-term debt ratings of A- or better.

The Company's maximum exposure to credit risk at the balance sheet date consists primarily of the carrying value of non-derivative financial assets and non-exchange-traded derivatives with positive fair values.

SHARE CAPITAL

As at April 22, 2014, there were 25,416,812 common shares issued and outstanding.

OTHER MATTERS

As previously disclosed, rather than payment of a full quarterly dividend, the Arrangement contemplates the payment of a stub period dividend in the quarter in which the transaction closes. As the Arrangement is expected to close during the second quarter, no quarterly dividend has been declared for this quarter, but rather pursuant to the Arrangement, one will be deemed to have been declared in the amount of $0.75 per share, pro-rated for the actual number of days elapsed in the second quarter up to and including the closing date of the transaction. This dividend will be payable at the effective time of the Arrangement to holders of record of Canada Bread common shares immediately prior to the effective time of the Arrangement. Unless indicated otherwise by the Company in writing on or before the time the dividend is paid, this dividend will be considered an Eligible Dividend for the purposes of the "Enhanced Dividend Tax Credit System". If the transaction does not close in the second quarter, the Company expects it would declare and pay a dividend in respect of the second quarter early in the third quarter of 2014.

SUMMARY OF QUARTERLY RESULTS

The following is a summary of unaudited quarterly financial information (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Total
Sales[i]	**2014**	**$ 342,837**	**$ –**	**$ –**	**$ –**	**$ –**
	2013	346,867	374,479	372,579	359,661	1,453,586
	2012	347,574	382,652	378,579	370,438	1,479,243
Net earnings (loss) from continuing operations[i]	**2014**	**$ 9,844**	**$ –**	**$ –**	**$ –**	**$ –**
	2013	2,294	24,487	24,388	33,874	85,043
	2012[ii]	904	26,740	23,663	24,207	75,514
Net earnings (loss)	**2014**	**$ 9,216**	**$ –**	**$ –**	**$ –**	**$ –**
	2013	2,281	24,529	24,488	106,258	157,556
	2012[ii]	159	26,095	23,535	21,691	71,480
Earnings (loss) per share from continuing operations[i]						
Basic and diluted[iii]	**2014**	**$ 0.39**	**$ –**	**$ –**	**$ –**	**$ –**
	2013	0.09	0.96	0.96	1.33	3.35
	2012[ii]	0.04	1.05	0.93	0.95	2.97
Adjusted EPS[iii][iv]	**2014**	**$ 0.60**	**$ –**	**$ –**	**$ –**	**$ –**
	2013	0.45	1.06	1.09	1.00	3.60
	2012[ii]	0.22	1.09	0.94	1.07	3.31
Earnings (loss) per share						
Basic and diluted[iii]	**2014**	**$ 0.36**	**$ –**	**$ –**	**$ –**	**$ –**
	2013	0.09	0.97	0.96	4.18	6.20
	2012[ii]	0.01	1.03	0.93	0.85	2.81

[i] *2013 and 2012 figures have been restated for the classification of the Olivieri business as a discontinued operation, refer to Note 16 of the Company's 2014 first quarter unaudited condensed consolidated interim financial statements.*

[ii] *2013 and 2012 figures have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS19"). Refer to Note 28 of the Company's 2013 audited annual consolidated financial statements.*

[iii] *May not add due to rounding.*

[iv] *Refer to Non-IFRS Financial Measures starting on page 10.*

Quarterly sales in 2014 were affected by the following significant items:

- lower sales volumes at the fresh bread, North American frozen, and U.K. bakery businesses;
- exiting speciality bread production in the U.K. in the second quarter of 2013;
- a weaker Canadian dollar relative to the U.S. dollar and U.K. pound; and
- higher pricing in the U.K. bakery business.

Quarterly net earnings in 2014 were affected by the following significant items:

- improved operating efficiencies at the fresh bread business due to elimination of duplicative overhead costs and simplification of the product portfolio;
- lower volumes in the fresh bread business;
- higher selling, general, and administrative costs in the fresh bread business related to advertising and promotional spend;
- a provision against a customer receivable in the North American frozen bakery business;

- lower input prices for wheat, offset by higher other raw material costs due to a weaker Canadian dollar, and higher inflationary costs at the fresh bread and North American frozen bakery businesses;
- higher pricing and lower raw material and selling, general, and administrative costs in the U.K. bakery business;
- exiting speciality bread production in the U.K. in the second quarter of 2013;
- restructuring and other related costs; and
- gain on sale on the disposal of investment properties.

Quarterly sales in 2013 were affected by the following significant items:

- price increases implemented during 2013 at the fresh bread and North American frozen bakery businesses;
- lower sales volume in the fresh bread business and North American frozen bakery business;
- higher volumes in the U.K. bakery business;
- exiting fresh and in-store bakery bread production in the U.K. in March 2012; and
- exiting speciality bread production in the U.K. in the second quarter of 2013.

Quarterly net earnings in 2013 were affected by the following significant items:

- results from discontinued operations;
- a gain on sale of the Company's Olivieri business in the fourth quarter of 2013;
- price increases implemented during 2013 at the fresh bread, North American frozen bakery, and U.K. bakery businesses;
- lower volumes in the fresh bread and North American frozen bakery business;
- higher volumes in the U.K. bakery business;
- higher inflationary costs across the Company;
- improved operating efficiencies at the fresh bread business, including lower waste, the contribution of the new Hamilton fresh bakery, simplification of the product portfolio, and reorganization of the distribution network;
- duplicative overhead costs related to the Company's new fresh bakery in Hamilton, Ontario for the first and second quarters of 2013, after which the third and final Toronto bakery was closed and production transferred;
- improved operating efficiencies at the North American frozen bakery business;
- closure of the Walsall, U.K. bakery in March 2012 related to the exit of certain bread categories in the U.K.;
- exiting speciality bread production in the U.K. in the second quarter of 2013;
- lower selling, administrative, and general management costs due to earlier restructuring initiatives;
- an impairment charge recorded on a U.K. bakery that was sold in the second quarter of 2013;
- sale of a previously closed bakery in Toronto, Ontario in the fourth quarter of 2013;
- recognition of legal and other professional fees associated with divestitures; and
- restructuring and other related costs.

For an explanation and analysis of quarterly results, refer to the Company's Management's Discussion and Analysis for each of the respective quarterly periods filed on SEDAR and which are also available on the Company's website at www.canadabread.ca.

SIGNIFICANT ACCOUNTING POLICIES

Accounting Standards Adopted During the Period

The Company applied, for the first time beginning on January 1, 2014, certain standards and amendments. As required by IAS 34 *Interim Financial Reporting* and IAS 8 *Accounting Policies, Change in Accounting Estimates and Errors*, the nature and the effect of these changes are disclosed below.

The nature and the impact of each new standard on the unaudited condensed consolidated interim financial statements ("consolidated financial statements") are described below:

Financial Assets and Liabilities

Beginning on January 1, 2014, the Company adopted the amendments to IAS 32 *Financial Instruments: Presentation* on a retrospective basis with restatement. The amendments to IAS 32 clarify when an entity has a legally enforceable right to offset, as well as clarify, when a settlement mechanism provides for net settlement or gross settlement that is equivalent to net settlement. The impact of the adoption of the amendments to IAS 32 did not have any impact on the Company's condensed consolidated financial statements.

Levies

Beginning January 1, 2014, the Company adopted International and Financial Reporting Interpretations Committee ("IFRIC") IFRIC 21 *Levies* on a retrospective basis with restatement. The IFRIC is applicable to all levies, other than outflows, that are within the scope of other standards and fines or other penalties for breaches of legislation. The interpretation clarifies that an entity recognizes a liability for a levy when the activity that triggers payments, as identified by the relevant legislation, occurs. The adoption of IFRIC 21 did not have a material impact on the Company's condensed consolidated financial statements.

Novation of Derivatives and Continuation of Hedge Accounting

Beginning January 1, 2014, the Company adopted IAS 39 *Novation of Derivatives and Continuation of Hedge Accounting* (Amendments to IAS 39 *Financial Instruments: Recognition and Measurement)*. The amendments added a limited exception to IAS 39, to provide relief from discontinuing an existing hedging relationship when novation that was not contemplated in the original hedging documentation meets specific criteria. The impact of the adoption of the amendments to IAS 39 did not have an impact on the Company's condensed consolidated financial statements.

Recent Accounting Pronouncements

Employee Benefits

In November 2013, the IASB published amendments to IAS 19 *Employee Benefits*. The effective date for these amendments is annual periods beginning on or after July 1, 2014. These amendments are to be applied retrospectively. IAS 19 requires an entity to consider contributions from employees or third parties when accounting for defined benefit plans. IAS 19 requires such contributions that are linked to service to be attributed to periods of service as a negative benefit. The amendments to IAS 19 provide a practical expedient for simplifying the accounting in certain situations. If the amount of contribution is independent of the number of years of service, an entity is permitted to recognize such contributions as a reduction in the service costs in the period in which the service is rendered, instead of allocating the contributions to the period's service. The Company intends to adopt the amendments to IAS 19 in its consolidated financial statements for the annual period beginning January 1, 2015. The extent of the impact of the adoption of amendments to IAS 19 has not yet been determined.

Annual Improvements to IFRS (2010 – 2012) and (2011 – 2013) cycles

In December 2013, the IASB issued narrow-scope amendments to a total of nine standards as part of its annual improvements process. Amendments were made to clarify items including the definition of vesting condition in IFRS 2 *Share-Based Payment*, disclosure on the aggregation of operating segments in IFRS 8 *Operating Segments*, measurement of short-term receivables and payables under IFRS 13 *Fair Value Measurement*, definition of related party in IAS 24 *Related Party Disclosures* and other amendments. Special transitional requirements have been set for certain of these amendments. Most amendments will apply prospectively for annual periods beginning on or after July 1, 2014, earlier application is permitted. The Company intends to adopt these amendments in its consolidated financial statements for the annual period beginning January 1, 2015. The extent of the impact of adoption of the amendments has not yet been determined.

Financial Instruments – Recognition and Measurement

In November 2009, the IASB issued IFRS 9 *Financial Instruments (*IFRS 9 (2009)*)* and in October 2010, the IASB published amendments to IFRS 9 (IFRS 9 (2010)). IFRS 9 (2009) introduces new requirements for the classification and measurement of financial assets. IFRS 9 (2010) introduces additional changes relating to financial liabilities. In November 2013, the IASB published amendments to IFRS 9 *Financial Instruments*, IFRS 7 *Financial Instruments: Disclosures*, and IAS 39 *Financial Instruments: Disclosures* (collectively, IFRS 9 (2013)) to include a new general hedge accounting model and allow the adoption of the treatment of fair value changes due to a Company's own credit risk on financial liabilities designated at fair value through profit or loss. Special transitional requirements have been set for the application of the new general hedging model. This amendment removes the January 1, 2015, effective date. In February 2014, the IASB tentatively decided that the mandatory effective date for these amendments to be January 1, 2018. The Company intends to adopt IFRS 9 in its consolidated financial instruments for the annual periods beginning January 1, 2018. The extent of the impact of the adoption of IFRS 9 has not yet been determined.

DISCLOSURE CONTROLS AND INTERNAL CONTROL OVER FINANCIAL REPORTING

There have been no changes in the Company's internal control over financial reporting that occurred during the period beginning on January 1, 2014 and ended on March 31, 2014 that has materially affected, or are reasonably likely to materially affect, the Company's internal control over financial reporting.

On January 1, 2014, the Company adopted the Committee of Sponsoring Organizations new internal control framework ("COSO 2013"), which did not have a material impact on the Company's internal controls over financial reporting and disclosure controls and procedures.

NON-IFRS FINANCIAL MEASURES

The Company uses the following non-IFRS measures: Adjusted Operating Earnings and Adjusted Earnings per Share. Management believes that these non-IFRS measures provide useful information to both Management and investors in measuring the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by IFRS and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with IFRS.

Adjusted Operating Earnings

Adjusted Operating Earnings, a non-IFRS measure, is used by Management to evaluate financial operating results. It is defined as earnings before income taxes adjusted for items that are not considered representative of ongoing operational activities of the business, and items where the economic impact of the transactions will be reflected in the earnings in future periods when the underlying asset is sold or transferred. The table below provides a reconciliation of net earnings as reported under IFRS in the unaudited consolidated interim statements of earnings to Adjusted Operating Earnings for the three months ended, as indicated below. Management believes that this basis is the most appropriate on which to evaluate operating results, as they are representative of the ongoing operations of the Company.

	Three months ended March 31, 2014			
($ thousands) (Unaudited)	**Fresh Bakery[1]**	**Frozen Bakery**	**Unallocated Costs**	**Consolidated**
Net earnings from continuing operations				**$ 9,844**
Income taxes				**3,960**
Earnings before income taxes from continuing operations				**$ 13,804**
Interest expense				**214**
Earnings before interest and income taxes from continuing operations	**$ 14,641**	**$ 4,767**	**$ (5,390)**	**$ 14,018**
Other (income) expense	**(1,248)**	**264**	**5,390**	**4,406**
Restructuring and other related costs	**1,883**	**(6)**	**–**	**1,877**
Adjusted Operating Earnings	**$ 15,276**	**$ 5,025**	**$ –**	**$ 20,301**

	Three months ended March 31, 2013			
($ thousands) (Unaudited)	Fresh Bakery[1]	Frozen Bakery	Unallocated Costs	Consolidated
Net earnings from continuing operations				$ 2,294
Income taxes				1,503
Earnings before income taxes from continuing operations				$ 3,797
Interest expense				397
Earnings before interest and income taxes from continuing operations	$ 4,164	$ 30	$ –	$ 4,194
Other (income) expense	(1,298)	3,811	–	2,513
Restructuring and other related costs	10,411	–	–	10,411
Adjusted Operating Earnings	$ 13,277	$ 3,841	$ –	$ 17,118

[1] *Figures exclude the results of the Olivieri business in the Fresh Bakery segment. Olivieri results are reported as discontinued operations as disclosed in Note 16 of the Company's 2014 first quarter unaudited condensed consolidated interim financial statements.*

Adjusted Earnings per Share

Adjusted Earnings per Share, a non-IFRS measure, is used by Management to evaluate ongoing financial operating results. It is defined as basic earnings per share, adjusted for items that are not considered representative of ongoing operational activities of the business, and items where the economic impact of the transactions will be reflected in earnings in future periods when the underlying asset is sold or transferred. The table below provides a reconciliation of basic earnings per share as reported under IFRS in the unaudited consolidated interim statements of earnings to Adjusted Earnings per Share for the three months ended, as indicated below. Management believes this basis is the most appropriate on which to evaluate financial results as they are representative of the ongoing operations of the Company.

($ per share) *(Unaudited)*	Three months ended March 31,	
	2014[i]	2013[i]
Basic earnings per share from continuing operations	**$ 0.39**	$ 0.09
Items included in other income not considered representative of on-going operations[ii]	**0.16**	0.06
Restructuring and other related costs[iii]	**0.05**	0.30
Adjusted Earnings per Share[iv]	**$ 0.60**	$ 0.45

[i] *Figures exclude the results of Olivieri business in the Fresh Bakery segment. Olivieri results are reported as discontinued operations as disclosed in Note 16 of the Company's 2014 first quarter unaudited condensed consolidated interim financial statements*

[ii] *Includes gains/losses associated with non-operational activities, including gains/losses related to restructuring activities, business combinations, discontinued operations, and assets held for sale, all net of tax.*

[iii] *Includes per share impact of restructuring and other related costs, net of tax.*

[iv] *May not add due to rounding.*

FORWARD-LOOKING STATEMENTS

This document contains, and the Company's oral and written public communications often contain, "forward-looking information" within the meaning of applicable securities laws. These statements are based on current expectations, estimates, forecasts, and projections about the industries in which the Company operates and beliefs and assumptions made by Management. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates, and intentions. Specific forward-looking information in this document includes, but is not limited to, statements concerning the expected timing of the completion of the sale of the shares of the Company to Grupo Bimbo (there can be no assurances that any transaction will be completed), expectations regarding the use of derivatives, futures and options, expectations regarding the timing and amount of capital investments, expectations regarding the timing and cost of old facility closures and new facility openings, the expected use of cash balances, source of funds for ongoing business requirements, capital investments and debt repayment, expectations regarding the impact of new accounting standards, expectations regarding sufficiency of the allowance for uncollectible accounts and expectations regarding pension plan performance and future pension liabilities and contributions. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate" and variations of such words and similar expressions are intended to identify such forward-looking information. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, U.S., and U.K. economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied, or forecasted in such forward-looking information, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied, or forecasted in such forward-looking information include, among other things:

- risks associated with the pending acquisition by Grupo Bimbo;
- risks associated with changes in the Company's shared systems and processes;
- risks associated with the management service agreement with Maple Leaf;
- the Company's exposure to currency exchange risks;
- ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options;
- impact of international events on commodity prices and the free flow of goods;
- risks associated with a consolidating retail environment;
- risks related to capital expansion projects;
- risks posed by food contamination, consumer liability, and product recalls;
- risks related to acquisitions and divestitures;
- risks posed by compliance with extensive government regulation;
- risks posed by litigation;
- impact of changes in consumer tastes and buying patterns;
- impact of extensive environmental regulation and potential environmental liabilities;
- risks associated with complying with differing employment laws and practices globally, the potential for work stoppages due to non-renewal of collective agreements, and recruiting and retaining qualified personnel;
- impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates;
- risks associated with the Company's independent distributors;
- risks posed by competition;
- risks associated with pricing the Company's products;
- risks associated with managing the Company's supply chain; and
- risks associated with failing to identify and manage the strategic risks facing the Company.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" presented previously in this document. The reader should review such section in detail. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking information, whether written or oral, or whether as a result of new information, future events, or otherwise except as required by law. Additional information concerning the Company, including the Company's Annual Information Form, will be available on SEDAR at www.sedar.com.

Canada Bread Company Limited, which is 90.0% owned by Maple Leaf Foods Inc. (TSX: MFI), is a leading manufacturer and distributor of fresh bakery products and frozen par-baked products. The Company had 2013 sales of $1.5 billion and employs approximately 5,400 people at its operations across North America and in the U.K.



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